

sleep. The good news is I lost 5 pounds because I couldn't eat. Of course, my husband isn't talking to me because I was a, *um*, shrew let's say. I did the smart thing and covered my position at 22.25. I suffered a loss of less than a point per share.”

A week or so after she bailed out, the stock was lower and it kept moving down. Eventually, the stock bottomed out at 9.38, comfortably below the predicted price and well below her entry point at 21.50.

Danielle made several mistakes with this trade. First, she did not wait for price to confirm the triple top pattern. Had she waited, she would have seen the false double bottom (it never confirmed as a true double bottom because price did not close above the highest high between the two bottoms).

Second, she was not patient enough for the trade to work out. When a trade goes against you, most times it is wise to quickly close out a position, especially if it is a short sale where losses can be unlimited. In this case, she wasn't in the red by much at any time.

Lastly, though, and it's a big one: She didn't have the experience to even *think* about shorting a stock. She got lucky to only lose a minor amount, especially when she was using family money and not her own personal stash.